was formed in the year 1997 under the chairmanship of Dr. Y. V. Reddy (the then deputy governor of RBI). Now, RBI follows the method recommended by this third working group.

The recommendations of the third working group considered the changing circumstances of Liberalisation, Privatisation and Globalisation (LPG) era and to ensure that the Indian standards in this regard are close to the international ones.

Money

Before getting into the methods of the third working group, it is necessary to know what money is. Money does not include coins and currencies alone. It includes other financial assets too. But there is difference among economists in the definition of money and the financial assets to be included in the category of money. The third working group observes, "There is no unique definition of 'money', either as a concept in economic theory or as measured in practice… money has to have relationship with the activities that economic entities pursue. Money can, therefore, be defined for policy purposes as set of liquid financial assets, the variation in the stock of which could impact on aggregate economic activity."

Money is classified into different types of financial assets based on their liquidity. Liquidity refers to the ease at which we can spend a financial asset. For example the currency at hand can be spent very easily. The currency deposited in banks can't be spent easily because we have to go to the bank or ATM to draw money and then only we can spend it. It involves some delay and manual labour. So, it is considered less liquid than currency at hand.

Sectorisation of the Economy